

FEDERAL MARITIME COMMISSION

DOCKET NO. 24-01

Visual Comfort & Co.
v.
COSCO Shipping Lines Co. Ltd.

COMPLAINANT’S¹ STATUS REPORT

Pursuant to Judge Ambrow’s December 19, 2024 Order Requiring a Joint Status Report (Dkt. 69), the parties hereby provide their respective positions regarding the matters raised in Complainant’s Second Motion to Compel (“2d MTC”) that remain to be decided.

1 Complainant notes that Judge Ambrow requested a joint status report, and accordingly, counsel for the Complainant sent this document to counsel for the Respondent on the afternoon of Monday, December 30, inviting counsel to insert its position. Counsel for Respondent responded by requesting Complainant’s consent to a one-day extension to the status report deadline, and Complainant agreed as a courtesy. At approximately 7 pm Eastern Time on December 31, counsel for Complainant received Respondent’s 8-page draft status report position, which Respondent insisted be submitted as a separate document or an attachment rather than part of a joint report, and which reads more like a legal brief than a good faith attempt to prepare a joint status report as requested. Because this 8-page document was received on the evening on New Year’s Eve just hours before it was due, Complainant was unable to prepare a full response—assuming a response is even appropriate. However, Complainant does not agree with many (if not most) of the allegations and contentions in Respondent’s position paper and is prepared to address those during a joint status conference or in the forum or format most convenient to Judge Ambrow.

Complainant's Position

Complainant Visual Comfort & Co. ("VCC") filed its 2d MTC on October 16, 2024, one week after it learned during the deposition of COSCO's corporate witness, Tom Takase, that COSCO had failed to disclose relevant custodians and search for responsive documents. VCC filed its motion prior to the end of the discovery period and requested that the deadline to submit its opening brief be adjourned to allow time to ensure COSCO fully complied with its discovery obligations. VCC also requested a hearing or conference before the Presiding Officer prior to filing its Opening Brief.

VCC did not receive a decision on the 2d MTC before the deadline to submit its Opening Brief, and it thus proceeded to file its Opening Brief on November 8, 2024 without the benefit of the outstanding discovery from COSCO. As the 2d MTC had not been decided, VCC reiterated COSCO's discovery deficiencies in its Opening Brief, and requested adverse inferences as to the facts likely to be in the discovery COSCO failed to provide.

On November 15, 2024, the Presiding Officer issued an order deferring a decision on the 2d MTC until the final briefing. Accordingly, the parties addressed VCC's outstanding document requests at length in their briefs. VCC refers the Presiding Officer to its arguments on pages 6-15 of its Opening Brief and 13-23 of its Reply Brief.

To date, the Presiding Officer has not issued a decision on the arguments in the 2d MTC. It is VCC's position that all issues in its 2d MTC remain open. The issues raised in the 2d MTC, and all developments since the 2d MTC was filed, are summarized below:

<u>Discovery Demanded in VCC's 2d MTC</u>	<u>Status</u>
Produce a corporate designee prepared to testify to Topics 2, 4, 5, 6, and 10 of the Deposition Notice.	COSCO has not produced a witness prepared to testify to these topics. This item remains open.
Collect and search the email accounts SHAPerDiem@coscon.com , perdiem_CDS@coscon.com , perdiem@cosco-usa.com for communications and documents (a) from RIM Logistics, Inc., and (b) related to the container numbers on VCC000005 during the relevant time period.	In its October 16, 2024 written responses to VCC's requests, COSCO stated that it had "previously" conducted a search of shaperdiem.coscon.com, but it provided no further details. In its opposition to VCC's Second Motion to Compel, COSCO represented that it had searched the shaperdiem@coscon.com email address, stating that "COSCO searched [shaperdiem@coscon.com] in accordance with Complainant's search terms and all responsive documents were produced to Complainant." On December 6, for the first time in its Opposition Brief, COSCO stated that shaperdiem@coscon.com, the email address listed on COSCO's invoices, to which all inquiries regarding detention fees are to be directed, and which COSCO had previously represented both in its discovery response and in its Opposition to VCC'S Second Motion to Compel <i>had been searched</i>, is not in fact an email address but rather a distribution list comprising other email addresses. COSCO did not identify the email addresses that comprise the distribution list and has never identified or searched those custodians. COSCO claims that all responses to emails sent to shaperdiem@coscon.com would be included in its customer service databases, but it has never produced a witness to testify to the nature of this process. Moreover, the customer service databases would not include emails sent to shaperdiem@coscon.com that did not receive a response. Additionally, COSCO has not searched the email addresses perdiem_CDS@coscon.com, and perdiem@cosco-usa.com. This item remains open.
Produce all "VIP account" contracts that include any terms	COSCO has not produced any contracts. This item remains open.

<u>Discovery Demanded in VCC's 2d MTC</u>	<u>Status</u>
related to accessorial charges or free days (other than the standard rates and free days in COSCO's published tariffs).	
Please produce all internal email correspondence and documents relating to (a) RIM Logistics, Inc., and (b) the container numbers on VCC000005, including but not limited to searching the email accounts for Tom Takase, Phil Taylor, and Chris Smith.	COSCO has not produced a single internal email. This item remains open.
Produce all written policies and procedures related to setting per diem, detention, demurrage, and storage rates (a) via general tariff or (b) for VIP accounts, including but not limited to searching the relevant custodians in Shanghai.	COSCO has not produced any responsive documents. This item remains open.
Produce all correspondence and written policies related to the procedures for the handling of disputes related to per diem, detention, demurrage, and storage charges.	COSCO has not produced any responsive documents. This item remains open.
Apply previously agreed upon search terms to additional custodians who have relevant and responsive documents, including SHAPerDiem@conscon.com , Tom Takase, Phil Taylor, James Houghtalin, Paulina Wang, perdiem_CDS@coscon.com , perdiem@cosco-usa.com , and Chris Smith	In its October 16, 2024 written responses to VCC's requests, COSCO agreed to apply the previously agreed upon search terms to Tom Takase, Phil Taylor, and Chris Smith. COSCO refused to search custodians James Houghtalin and Paulina Wang. On November 12, four days after VCC filed its Opening Brief, COSCO advised VCC that it completed its search of custodians Tom Takase, Christine Smith and Phil Taylor, and it found no responsive documents. It is VCC's position that this response is insufficient with respect to custodians Tom Takase, Phil Taylor, and Chris Smith. If COSCO had advised in a timely manner that it did not find a single responsive document, the parties could have negotiated additional targeted search terms.

<u>Discovery Demanded in VCC's 2d MTC</u>	<u>Status</u>
	Additionally, COSCO has not searched or produced documents from James Houghtalin, Paulina Wang, perdiem_CDS@coscon.com, perdiem@cosco-usa.com. This item remains open.

Respondent's Position

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Respectfully submitted,

/s/ Jennifer M. Oliver

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